

Smarter technology for all

1QFY26/27 Earnings Announcement

August 13, 2026

Lenovo

Lenovo

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Yuanqing Yang

Chairman & CEO

August 13, 2026

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Best quarter in Lenovo's history



Record revenue



Record adjusted net income



Record AI momentum

Strategic foresight | Operational excellence | Relentless innovation



Group

Record performance,
historic breakthroughs

Revenue

\$26.9 billion

Record high, **+43%** YoY

Adjusted net income*

\$1,075 million

Record high, **+176%** YoY

Adjusted net margin*

4.0%

+1.9pts YoY

AI related revenue

\$9.3 billion

+60% YoY, **35%** of group total

Main businesses

(IDG ISG SSG)

All record FQ1 revenue, all **strong double-digit** YoY growth

All geographies

All strong YoY revenue growth:

PRC **+25%**, AP **+28%**, EMEA **+53%**, AG **+58%**

R&D expenses

+30% YoY

3 Historic Breakthroughs



ISG becoming
global AI/Infrastructure leader
growth & profit engine

AI

Elevating from
PC leader to AI leader



Turning Supply constraints
into competitive advantages



- Revenue **\$17.1 billion**, **+27%** YoY
- Operating margin **7.1%**
- PCSD: revenue **+30%** YoY
 - PC: industry-leading profitability; market share **24.2%**, 5.3pts over #2 player
 - Tablet: revenue **+83%** YoY, record FQ1
- Smartphone: revenue **+15%** YoY, record FQ1



- Revenue **\$8.5 billion, +98%** YoY, record high
- Operating profit **\$777 million**, operating margin **9.1%**, both record high
- Dual CSP & ESMB strategy drove exceptional growth:
 - CSP: revenue **+98%** YoY
 - ESMB: revenue **+98%** YoY
- Strong momentum in traditional compute and AI compute:
 - x86 server rose to global **#2**, accelerated profitability improvement
 - AI server pipeline grew to **\$54 billion**



SSG

AI solutions
gaining momentum

- Revenue **\$2.9 billion, +28%** YoY
- Operating margin **24.2%, +2pts** YoY
- Non-hardware-tied solutions and services revenue mix **62%**, record high
- Empowered FIFA World Cup '26 as strong case of AI democratization
 - Zero-fault execution of AI solutions (FIFA AI Pro, Referee View AI Stabilizer, 3D Player Avatars) and AI-powered command center
- TruScale: revenue **+35%** YoY
- Projects & Solutions: revenue **+50%** YoY

Outlook

Executing Hybrid AI strategy
driving AI democratization

Accelerating Hybrid AI strategy execution,
fully prepared to seize opportunities of AI democratization

- Personal AI – One Personal AI, Multiple devices
- Qira & Tianxi orchestrating across devices & ecosystems
- Enterprise AI – Unleashing Lenovo Hybrid AI Advantage
- Enabling customers to turn private data into insights & business value

Smarter AI for all



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Winston Cheng

Chief Financial Officer

August 13, 2026

Lenovo

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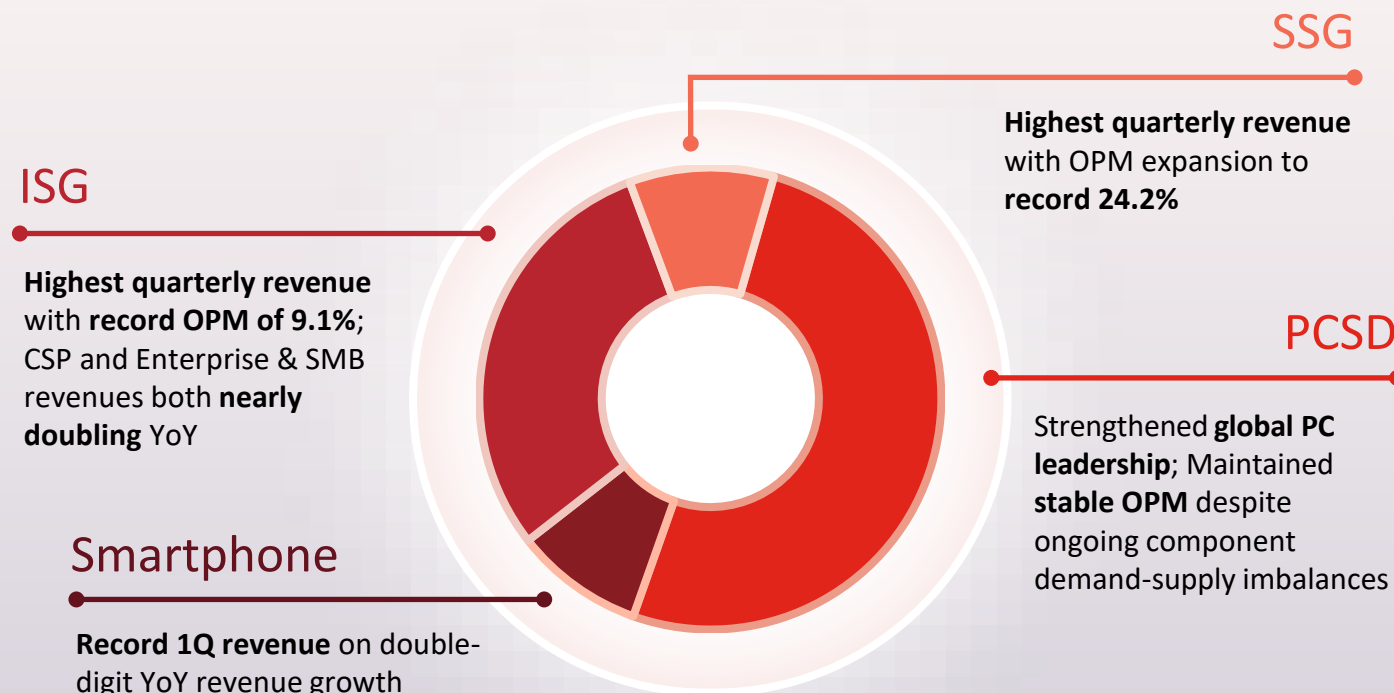
Record Quarterly Revenue

Uniquely Positioned to Seize Substantial AI-Driven Opportunities Across the Entire Value Chain

Record quarterly revenue of **US\$26.9B** (+43% YoY), marking the highest growth in the past 5 years

AI-related revenues increased **60% YoY**;

Now representing **35%** of total Group revenue, driven by strong momentum across AI-related devices, infrastructure, and services¹



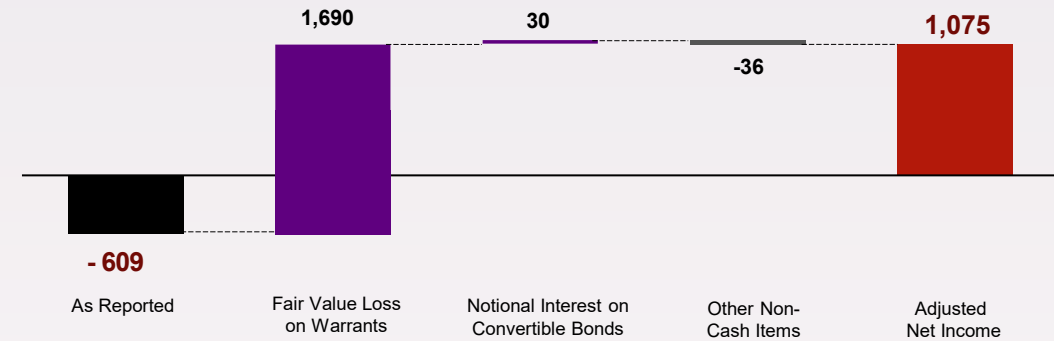
Adjusted Net Income Surpassing the US\$1B Milestone

Accelerated Margin Expansion Driven by Strong Execution and Efficiency Gains

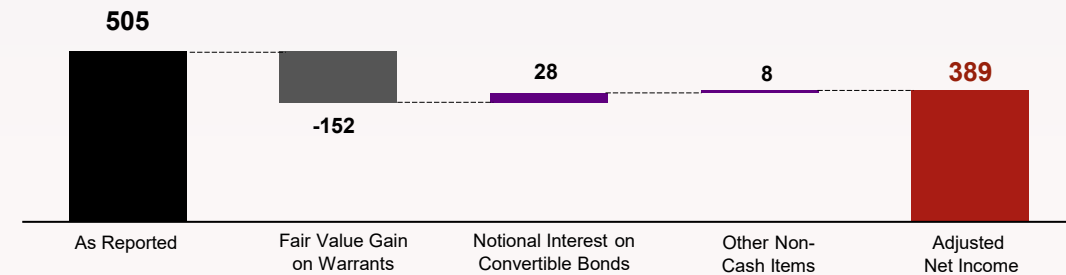
Excluding non-operating non-cash items, and one-time benefits and charges¹:

- ✓ Adjusted operating income increased **141%** YoY to **US\$1,523M**
- ✓ Adjusted net income² grew **176%** YoY to **US\$1,075M**, surpassing the US\$1B milestone for the first time
- ✓ Adjusted operating margin and net margin expanded to **5.7%** and **4.0%**, respectively, reflecting higher revenue scale and continued efficiency gains

US\$M 1QFY26/27 Net Income²: Non-HKFRS Adjustments



US\$M 1QFY25/26 Net Income²: Non-HKFRS Adjustments



**+176%
YoY**

IDG

Intelligent Devices Group

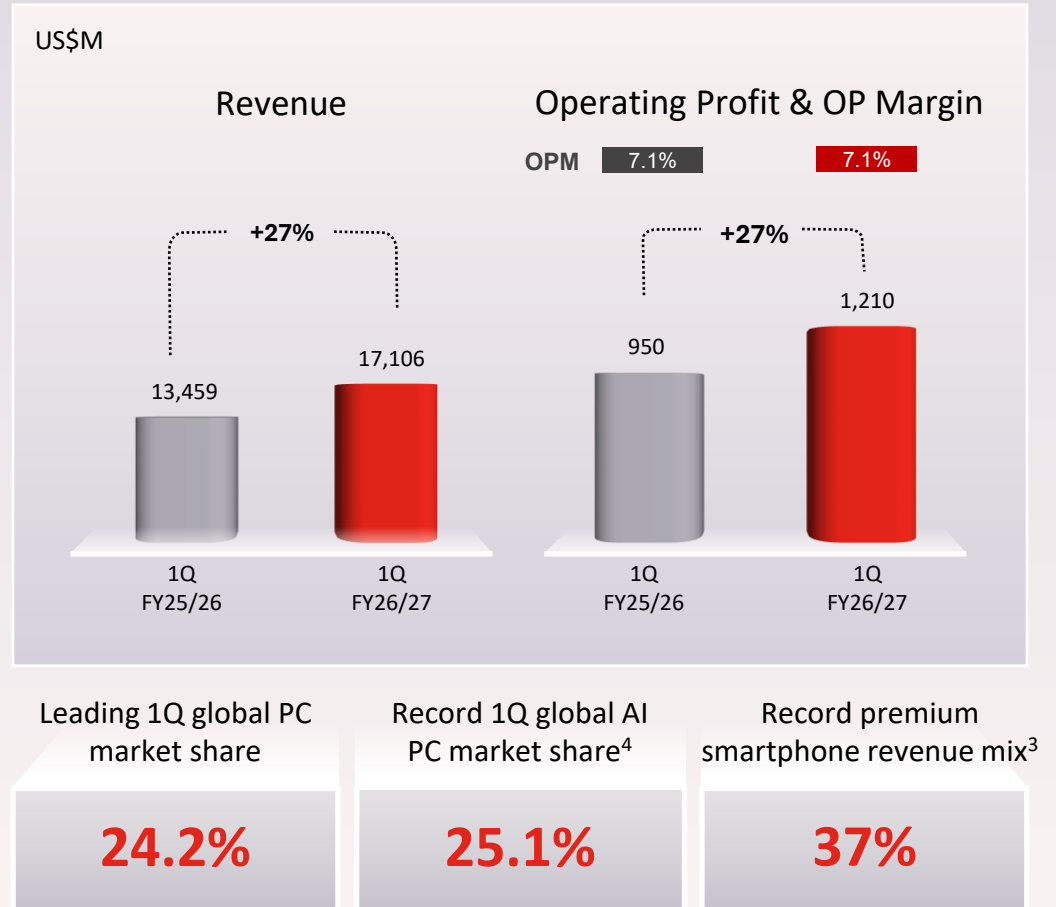
Record 1Q revenue of US\$17.1B, up **27%** YoY;

Maintained industry-leading **OPM** of **7.1%**, reflecting operational excellence, supply chain resilience, and continued innovation

Leading global PC market share reached **24.2%** (+0.5pts YoY)¹, widening the lead over the #2 player for **10** consecutive quarters; The **only one of the top-three** PC vendors gaining global market share in 1Q while maintaining stable operating profit margins

Maintained **#1** position across Consumer/Commercial¹; **Double-digit** YoY revenue growth in **Non-PC adjacencies**² with margin expansion

Smartphone record 1Q revenue on double-digit YoY revenue growth; **Record** premium smartphone revenue mix³ of **37%**

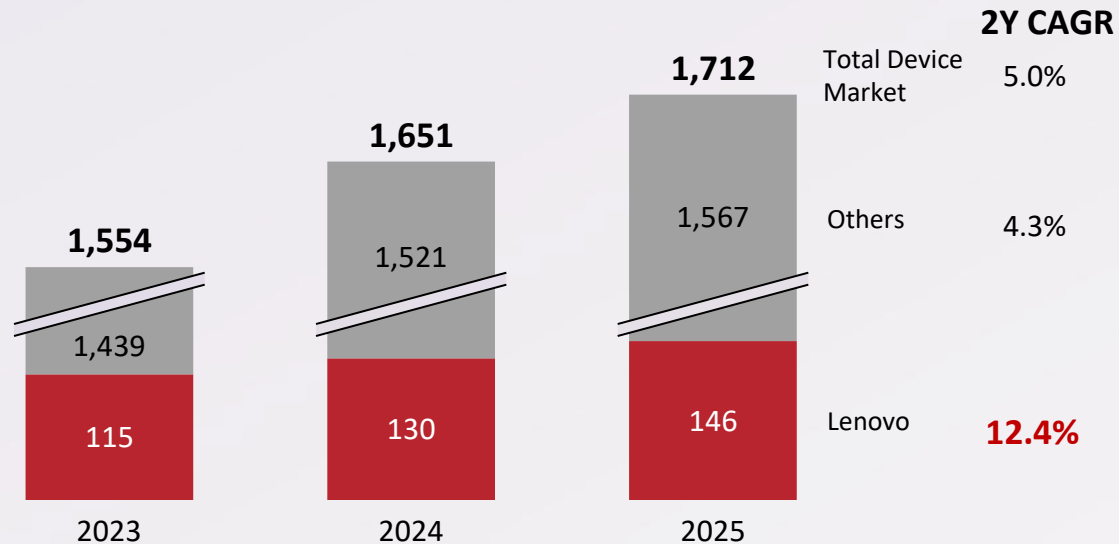


Personal AI: Scaling the Industry's Broadest Device Ecosystems

Continuously Expanding the Installed Base Across Portfolios to Lead in the Hybrid AI Era

Lenovo's Total Device Growth Outpaces Market and Other Leading Ecosystems¹

By Units, Millions



Lenovo AI PC
2 YR CAGR²

+395%

3.7x the total AI PC market

Motorola Premium Segment
3 YR CAGR³

+23%

vs. 7% Market Growth

One Personal AI, Multiple Devices



- Orchestrate seamless AI experiences across devices
- Leverage full-ecosystem expertise with multi-OS and multi-silicon capabilities
- Deliver unmatched portfolio breadth and ecosystem reach

ISG

Infrastructure Solutions Group

Record quarterly revenue of **US\$8.5B**, **+98%** YoY

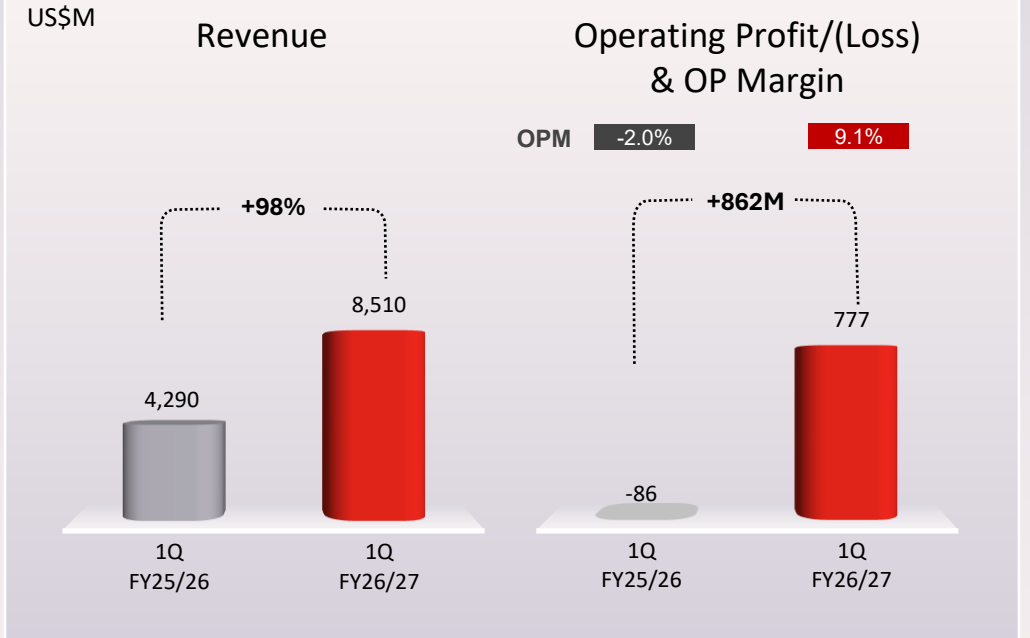
All-time-high **operating profit** of **US\$777M** and **operating margin** of **9.1%**

Broad-based strength across **traditional compute, AI servers and storage**

AI server revenue delivered **triple-digit** YoY growth across international markets¹

\$54B AI server pipeline, up **157%** QoQ across enterprise customers

Advanced **Global/Local model** with the launch of the **North Carolina Smart Campus**, expanding advanced infrastructure manufacturing capabilities and strengthening large-scale development and end-to-end service capabilities to capture the growing demand from hyperscalers and enterprise customers



Record quarterly operating margin

9.1%

AI Server Pipeline +157% QoQ to

US\$54B

CSP and ESMB revenues both YoY nearly

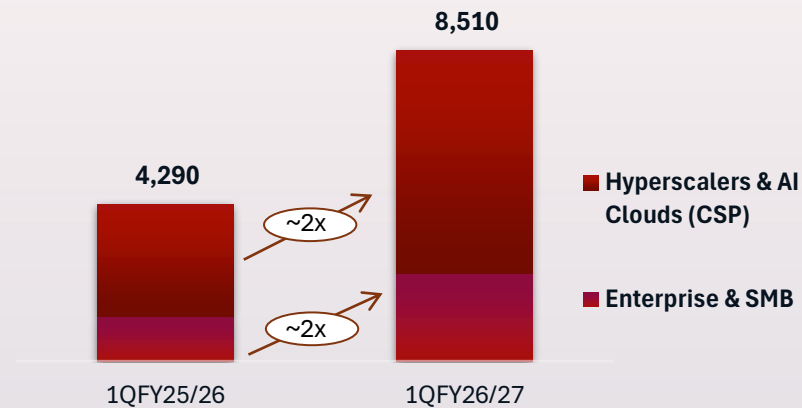
Doubled

Exceptional Growth and Accelerated Profitability with Dual Engines

Leading the AI Infrastructure Industry with Our Unique ODM+/OEM Model and Global-Local Approach

Accelerating Revenue Growth Driven by Dual Engines

US\$M



- **Record performance in CSP and Enterprise & SMB, with both segment revenues nearly doubling YoY**, fueled by strong AI momentum and a rapidly expanding customer base
- **Operating margin accelerated to industry level**, driven by **higher value captured** through strengthened go-to-market capabilities with efficiency and speed

>2.5x

AI server revenue YoY
in International markets¹

Triple-digit

revenue YoY growth
across Server and Storage

- ✓ **Enterprise AI adoption** momentum accelerated; Strategically positioned to capture the growing enterprise AI inferencing opportunities, supported by a **scalable transactional model** and simplified and pre-validated enterprise solutions
- ✓ **Scaling GB300 deployments** to capture growing **agentic AI** demand; **Accelerating Vera Rubin rack solution** readiness and time-to-market
- ✓ **Accelerated profitability across international and PRC markets**, leveraging a world-class supply chain and strong global-to-local execution

ISG Customer Win Highlights in 1QFY26/27

CSP



Leading AI Cloud Provider

Delivered an AI Factory deployment with more than 7,000 GPUs, advanced cooling, and optimized infrastructure designed to accelerate time-to-first-token and support large-scale AI workloads

AI Infrastructure Provider

Enabled rapid AI scale with thousands of Lenovo servers, delivering the performance, reliability, and infrastructure needed to maintain a competitive edge in the AI cloud

Enterprise & SMB



Enterprise AI Innovator

Enabled faster AI innovation with an AI Factory deployment that reduced model training and inference times by 70%

AI Video Analytics Provider

Delivered edge AI infrastructure that transforms existing camera systems into a AI-driven operational platform, enhancing security through real-time video analytics and cost-effective deployment

Liquid Cooling



AI Infrastructure Provider

Delivered a pioneering AI Factory featuring a 1.6MW high-density GPU cluster with 18.3 ExaFLOPS (FP4 peak) performance, enabled by Neptune liquid cooling capabilities, to support advance AI workloads at scale

Leading Research University

Delivered a sustainable high-performance computing platform powered by Neptune liquid cooling, improving energy efficiency while enabling advanced scientific research at scale

SSG

Solutions and Services Group

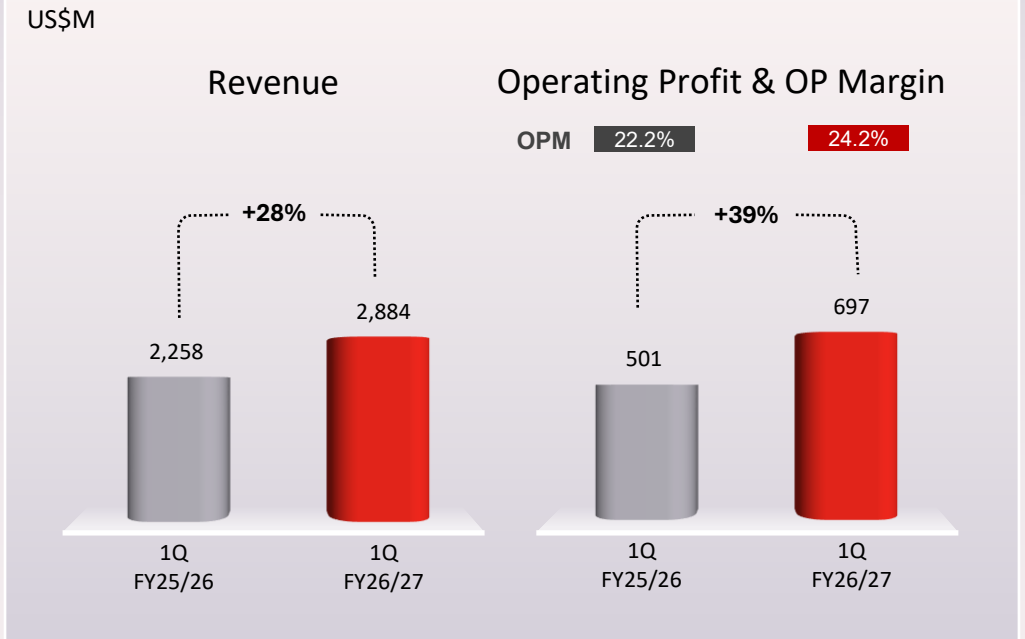
Revenue increased **28%** YoY to **US\$2.9B** with **record OPM** of **24.2%**;
Continued **market share gains**, growing nearly **2x** the market growth rate

Record 62.4% of revenue from **Managed Services** and **Projects & Solutions**; Projects & Solutions growth outlook supported by a robust **multi-quarter** booking backlog and AI Library momentum

Triple-digit YoY revenue growth in **AI services**, accelerating **ROI** for enterprise customers

AI-led TAM is expected to nearly **double** from FY26/27 to FY29/30, driving total SSG TAM¹ to exceed **\$850B**

Hypergrowth in **TruScale IaaS bookings**, supported by **AI Factory success** across AI Cloud and Enterprise segments



SSG record OPM

24.2%

Record mix from
Service-led revenues

62.4%

Total SSG TAM in
FY29/30¹

US\$850B+

Capturing Expanding AI-driven TAM through Faster, Scalable and Efficient Enterprise Solutions

Rapidly Expanding TAM

- ✓ AI is driving the next phase of SSG's market opportunity¹
 - Portfolio expansion across AI services and solutions helps SSG address an additional **\$200B+ TAM** in FY26/27
 - This **AI-led TAM** is expected to grow fast at **~25%** per year through FY29/30
 - Share of AI-led TAM expected to rise from **37%** in FY26/27 to **nearly half** by FY29/30
- ✓ Strategically positioned in the fast-growing segments defined by **AI Solutions & Services, Hybrid Cloud, DWS and Sustainability**

Validated Enterprise Solutions

Triple-digit

AI services revenue
YoY growth

~2x

TruScale IaaS
bookings YoY

- ✓ Strong revenue and bookings momentum in **Projects & Solutions**, underpinned by a **multi-quarter booking backlog**
- ✓ **60+ AI Library solutions** are helping customers accelerate AI deployment through repeatable, proven use cases
- ✓ **Full-stack enterprise AI** framework that brings together infrastructure, platforms, services, and industry solutions to help customers move **from AI experimentation into production**

Official FIFA World Cup™ 2026 Technology Partner

AI Proven on the World's Biggest Stage

99.99%

Solution uptime across tournament operations

25K+

Lenovo and Motorola devices deployed and managed

600+

FIFA sites supported with 350+ engineers onsite

16K

Guests hosted throughout the tournament

6B+

Global fans reached through broadcasts

Powered the Largest FIFA World Cup

- Provided end-to-end technology spanning **devices, infrastructure, solutions, and services**
- Enabled tournament operations across **104 matches, 16 cities, and 3 host countries**
- Delivered AI-powered innovations including **FIFA AI Pro, Referee View, and 3D avatars**

Created a High-Impact Customer Engagement Platform

- Hosted **16,000 guests** throughout the tournament
- **Welcomed Fortune 500 CEOs, investors, partners, and customers**, creating meaningful opportunities to strengthen relationships and showcase Lenovo's innovation
- Created a powerful platform for deeper storytelling around Lenovo AI powering the FIFA World Cup

Elevated Global Brand and AI Leadership

- Enhanced experiences for an estimated **6B+ fans globally** through broadcasts, officiating, team analysis, and fan engagement
- Generated **billions** of social media impressions and tens of thousands of media stories
- Led among FIFA partners in share of voice, reinforcing Lenovo's position as a global **AI powerhouse**

**Smarter
technology
for all**

Lenovo

thanks.

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Supplemental Financial Information

1QFY26/27 | Lenovo Group Limited

1. Financial Summary
2. Condensed Consolidated Income Statement
3. Condensed Consolidated Balance Sheet
4. Condensed Consolidated Cash Flow Statement
5. Non-HKFRS Adjustments

Lenovo

1. Financial Summary

US\$ Million	1Q FY25/26	1Q FY26/27	YoY%
Revenue	18,830	26,943	43%
Gross profit	2,774	4,452	60%
Operating expenses	(1,989)	(4,433)	123%
Operating profit	785	19	-98%
Operating profit (non-HKFRS)	631	1,523	141%
Other non-operating income/(expenses) – net	(163)	(199)	22%
Profit/(loss) before taxation	622	(180)	N/A
Profit before taxation (non-HKFRS)	497	1,355	172%
Taxation	(84)	(298)	252%
Profit/(loss) for the period	538	(478)	N/A
Profit for the period (non-HKFRS)	412	1,087	164%
Profit/(loss) attributable to			
▪ Other non-controlling interests	33	131	307%
▪ Equity holders of the Company	505	(609)	N/A
▪ Equity holders of the Company (non-HKFRS)	389	1,075	176%
Earnings/(loss) per share (US cents)			
▪ Basic	4.12	(5.04)	N/A
▪ Diluted	3.65	(5.04)	N/A

	1Q FY25/26	1Q FY26/27
Gross margin	14.7%	16.5%
Operating margin	4.2%	0.1%
Expense ratio	10.6%	16.5%
PBT margin	3.3%	-0.7%
Net margin	2.7%	-2.3%

2. Condensed Consolidated Income Statement

US\$ Million	1Q FY25/26	1Q FY26/27
Revenue	18,830	26,943
Cost of sales	(16,056)	(22,491)
Gross profit	2,774	4,452
Selling and distribution expenses	(955)	(1,267)
Administrative expenses	(677)	(636)
Research and development expenses	(524)	(682)
Other operating income/(expenses) – net	167	(1,848)
Operating profit	785	19
Finance income	28	25
Finance costs	(187)	(218)
Share of losses of associates and joint ventures	(4)	(6)
Profit/(loss) before taxation	622	(180)
Taxation	(84)	(298)
Profit/(loss) for the period	538	(478)
Profit/(loss) attributable to		
▪ Other non-controlling interests	33	131
▪ Equity holders of the Company	505	(609)
Per share data		
▪ Earnings/(loss) per share (US cents) – Basic	4.12	(5.04)
▪ Earnings/(loss) per share (US cents) – Diluted	3.65	(5.04)

3. Condensed Consolidated Balance Sheet

US\$ Million	As of June 30, 2025	As of June 30, 2026
Current assets	29,761	50,655
▪ Bank deposits and cash	4,587	6,081
▪ Trade, notes and other receivables	16,025	28,267
▪ Inventories	8,743	15,742
▪ Others	406	565
Non-current assets	16,562	19,457
▪ Property, plant and equipment	2,094	2,323
▪ Intangible assets	8,329	8,926
▪ Others	6,139	8,208
Current liabilities	31,285	51,796
▪ Borrowings	65	885
▪ Trade, notes, other payables, accruals and provisions	28,844	46,531
▪ Deferred revenue	1,712	2,088
▪ Others	664	2,292
Non-current liabilities	7,597	10,148
▪ Borrowings	4,368	5,375
▪ Deferred revenue	1,738	2,120
▪ Others	1,491	2,653
Total equity	7,441	8,168

4. Condensed Cash Flow

US\$ Million	1Q FY25/26	1Q FY26/27
Net cash generated from operating activities	1,219	382
Net cash used in investing activities	(421)	(880)
Net cash (used in)/generated from financing activities	(1,087)	1,505
(Decrease)/increase in cash and cash equivalents	(289)	1,007
Effect of foreign exchange rate changes	66	14
Cash and cash equivalents at the beginning of the period	4,728	4,887
Cash and cash equivalents at the end of the period	4,505	5,908

5. 1QFY26/27 Non-HKFRS Adjustments

US\$ Million	1Q FY25/26			1Q FY26/27		
	Operating profit	Profit for the period	Profit attributable to equity holders	Operating profit	(Loss)/profit for the period	(Loss)/profit attributable to equity holders
As reported	785	538	505	19	(478)	(609)
Non-HKFRS adjustments						
▪ Net fair value changes on financial assets at fair value through profit or loss	(21)	(19)	(9)	(249)	(213)	(94)
▪ Amortization of intangible assets resulting from mergers and acquisitions	16	14	14	17	14	14
▪ Merger and acquisitions related charges	-	-	-	1	1	1
▪ Impairment and write-off of intangible assets, property, plant and equipment and construction-in-progress	3	3	3	22	22	22
▪ Fair value (gain)/loss on derivative financial liabilities relating to warrants	(152)	(152)	(152)	1,690	1,690	1,690
▪ Impairment of interest in associates	-	-	-	23	21	21
▪ Notional interests on convertible bonds	-	28	28	-	30	30
Adjusted	631	412	389	1,523	1,087	1,075